

in the old razors, and predicted that White Rain shampoo, conditioner, and mousse would make a comeback.

Internally, Ms. Hall said, the company was planning to split its shares and had prepared a poison pill to swallow in case of an attack by corporate raiders. This pill business didn't sound very appealing to me, but Ms. Hall insisted it was simply a way of restructuring certain assets to give shareholders better protection. Splitting shares would cut the stock price in half, making it easier for average people to buy more.

Though Ms. Hall made a convincing case for Gillette, I thought it wouldn't hurt to get a second opinion. I mentioned this to her as tactfully as I could, and she kindly gave me the names of other analysts who followed the stock. In fact, she seemed as anxious as I was to find out what these other analysts were saying. "Let me know if you hear anything interesting," she said. "You can call me back any time." To me, this was a strange request, since she had the phone numbers and could have talked to them herself, but I let the matter drop.

The first name on Ms. Hall's list was Deepak Raj of Merrill Lynch, whom I contacted immediately. After I mentioned that I'd visited Ms. Hall, he invited me down to Merrill Lynch headquarters, which is more or less the same set up but without the antique furniture.

As you might have guessed, Mr. Raj was of Indian descent. He was much too agitated for a prolonged, idle conversation. Perhaps if I'd bought my 53 shares through him, he might have had more time. He did tell me that he'd been following the cosmetics companies since 1979, he lived in New Jersey, and he also worked long hours. One subject he seemed delighted to discuss was how early he had recognized Gillette's potential. Analysts call this their "initiation of coverage." Mr. Raj initiated his coverage of Gillette in 1980, when the stock was selling in the twenties, and had recommended it right up to its recent \$80. I wished I'd been listening to his squawk box back then.

As to Gillette's future prospects, Mr. Raj was cautious but optimistic. Though he rated Gillette "above average"—which in Merrill Lynch's language fell somewhere below "buy" and above "sell"—he didn't seem as enthusiastic as Ms. Hall. He worried out loud